

Visible withdrawal symptoms of ATMs

Banking reorganisation is slowing the growth of ATMs more than a **secular** decline in cash transactions in India. **Rules governing** fees charged on ATM transactions and **mergers** of **state-owned** banks **have altered** the business case for **setting up cash-dispensing machines**, particularly in **remote** locations. Over the time that growth in ATM numbers slowed and **eventually shrank**, the **share** of currency in circulation **has** been **climbing**. Banks are moving towards two ATMs per branch (one of them onsite), which would **funnel** more cash through the machines so that they can pay for themselves. Rising currency demand improves the capacity utilisation of ATMs. Their overall numbers will **stabilise** after the segment turns **profitable**, despite the rise in online transactions.

An economy's ATM capacity serves as a **proxy** for the opportunity cost of holding cash, which is influenced by several variables, some of which may not be financial. Rapidly **expanding economies** typically have a higher growth in transaction demand. Inflation and interest rates have an impact on the costs of holding cash, but this has to be seen **in the context of financial inclusion**. **Demographics** also have an impact, as an **ageing** population **tends to** have a bigger need for cash. The **composition** of currency notes in circulation **alters attitudes** towards **hoarding** cash in large-**denomination** notes.



China is the first major economy to have reduced the share of cash in circulation relative to **nominal GDP**. But, then, it is **streets ahead** of other economies in online transactions. India is a **distant** second, and the **scale** of its digital transactions **has** not reached the point where it begins to shrink demand for cash. However, since its digital transaction infra is publicly funded, it can be **scaled up** faster through policy intervention. A less-cash economy is some **way off** but not too far **on the horizon**, which can be brought closer by **accelerating** the **pace** of the digital economy. **[Practice]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'
- **Streets ahead** (phrasal verb) – greatly superior. बहुत बेहतर

Vocabulary

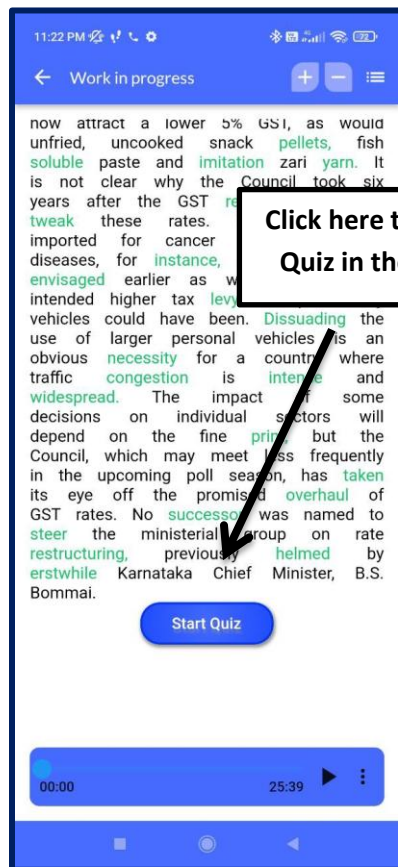
1. **Secular** (adjective) – Long-term, continuous, ongoing, persistent
दीर्घकालिक, लगातार
2. **Govern** (verb) – Regulating, controlling, overseeing, administering नियंत्रित करने वाला
3. **Merger** (noun) – Combination, amalgamation, union, consolidation
विलय
4. **State-owned** (adjective) – Government-owned, publicly owned, nationalized
सरकारी
5. **Alter** (verb) – Change, modify, adjust, transform बदलना
6. **Set up** (phrasal verb) – Establish, install, initiate, start स्थापित करना
7. **Cash-dispensing machine** (noun) – An Automated Teller Machine (ATM) that allows users to withdraw cash नकदी निकालने की मशीन
8. **Remote** (adjective) – Distant, far-off, isolated, outlying दूरस्थ, दूर का
9. **Eventually** (adverb) – Ultimately, finally, in the end, sooner or later अंततः
10. **Shrink** (verb) – Decrease, reduce, contract, diminish कम होना
11. **Climb** (verb) – Increase, rise, go up, escalate बढ़ना
12. **Funnel** (verb) – Channel, direct, guide, convey प्रवाहित करना
13. **Stabilize** (verb) – Steady, balance, make stable, level off स्थिर करना
14. **Profitable** (adjective) – Lucrative, gainful, money-making, remunerative लाभदायक
15. **Proxy** (noun) – Substitute, representative, stand-in, indicator प्रतीक
16. **Expanding** (adjective) – Growing, increasing, enlarging, developing बढ़ता हुआ
17. **Economies** (noun) – Economic systems, markets, financial structures
अर्थव्यवस्थाएँ
18. **In the context of** (phrase) – Regarding, in relation to, considering के संदर्भ में
19. **Financial inclusion** (noun) – The availability and equality of opportunities to access financial services वित्तीय समावेशन
20. **Demographic** (noun) – Population group, segment, section, category
जनसांख्यिकीय समूह

21. **Ageing** (adjective) – Growing older, maturing, elderly बूढ़ा होता हुआ
22. **Tend to** (verb) – Be inclined to, are likely to, usually, generally प्रवृत्त होना
23. **Composition** (noun) – Makeup, structure, configuration, arrangement संरचना
24. **Attitude** (noun) – Mindset, outlook, perspective, approach दृष्टिकोण
25. **Hoard** (verb) – Accumulate, stockpile, collect, store इकट्ठा करना
26. **Denomination** (noun) – Value, unit, face value, category मूल्य वर्ग
27. **Nominal GDP** (noun) – Gross Domestic Product measured at current market prices, not adjusted for inflation
28. **Distant** (adjective) – Far, remote, not close, faraway दूरस्थ, दूर का
29. **Scale** (noun) – Extent, size, magnitude, level पैमाना, स्तर
30. **Scale up** (phrasal verb) – Increase, expand, enlarge, augment बढ़ाना
31. **Way off** (phrasal verb) – Far away, distant, not soon, some time away काफी दूर
32. **On the horizon** (phrase) – Coming soon, imminent, approaching आने वाला
33. **Accelerate** (verb) – Speed up, hasten, quicken, expedite गति बढ़ाना
34. **Pace** (noun) – Speed, rate, tempo, momentum गति

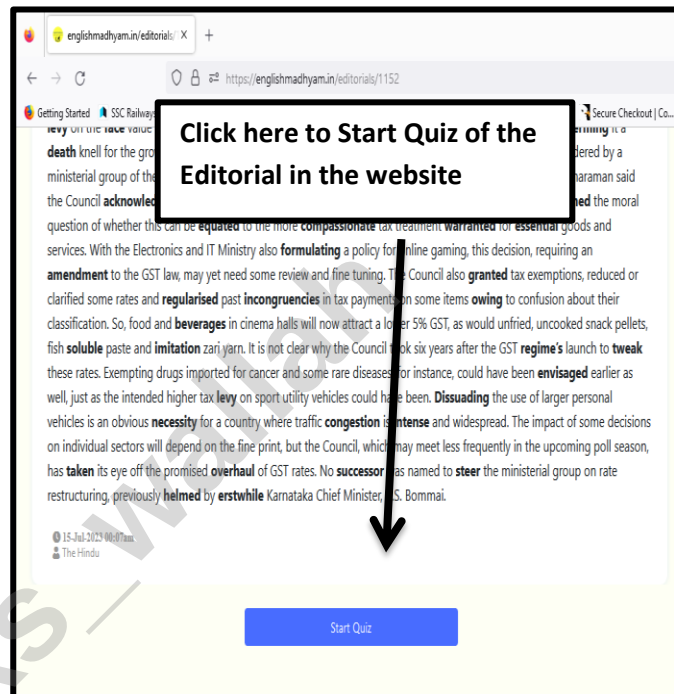
Summary of the Editorial

1. **Slower ATM Growth:** Banking reorganization, such as state-owned bank mergers, has decelerated the expansion of ATMs more than the decline in cash usage.
2. **Fee Regulations Impact:** Rules governing ATM transaction fees have altered the profitability of deploying ATMs, particularly in remote areas.
3. **Currency Circulation Rising:** Despite the slowdown in ATM growth, the share of currency in circulation continues to increase, reflecting sustained cash dependency.
4. **Shift in Bank Strategies:** Banks are moving towards a model of two ATMs per branch, funneling cash through machines to ensure profitability.
5. **Improved Utilization:** Rising demand for cash is expected to enhance ATM utilization, stabilizing their numbers after the segment turns profitable.
6. **Proxy for Economic Dynamics:** ATM capacity acts as a measure of the opportunity cost of holding cash, influenced by factors like inflation, interest rates, and financial inclusion.
7. **Impact of Demographics:** An ageing population tends to increase cash dependency, impacting ATM demand.
8. **Currency Composition:** The composition of notes in circulation, especially large-denomination notes, affects attitudes towards cash hoarding.
9. **China's Example:** China has reduced cash usage relative to GDP, supported by its advanced online transaction ecosystem.
10. **India's Digital Lag:** India trails behind China in digital transaction scale, with cash demand still robust due to slower adoption.
11. **Public-Funded Infrastructure:** India's publicly funded digital transaction infrastructure offers potential for faster scaling through policy measures.
12. **Future of Cash in India:** A fully "less-cash" economy remains distant, but accelerating digital adoption could bring it closer.
13. **Policy Implications:** Strategic interventions in digital infrastructure could reduce dependency on cash and ease ATM pressures.
14. **Economic Growth Dynamics:** Rapidly expanding economies like India experience increased transaction demand, balancing digital and cash usage.
15. **Towards a Digital Economy:** With focused policy support, India's transition to a digital-first economy could outpace its current trajectory, reducing the need for physical cash over time.

Practice Exercise: Banking Pattern Based



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